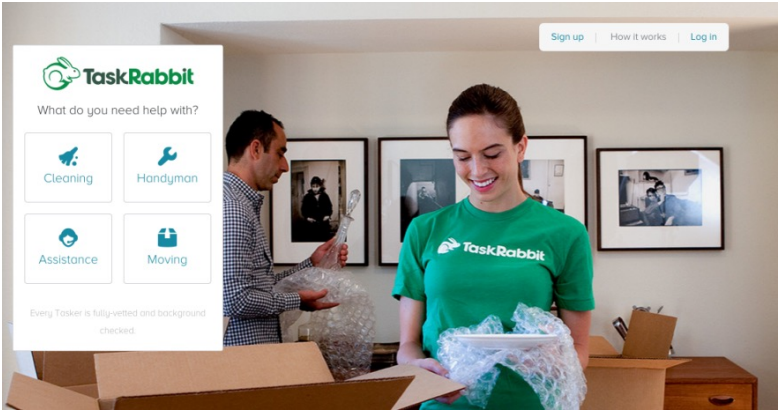


~~Business~~ Organizations 1

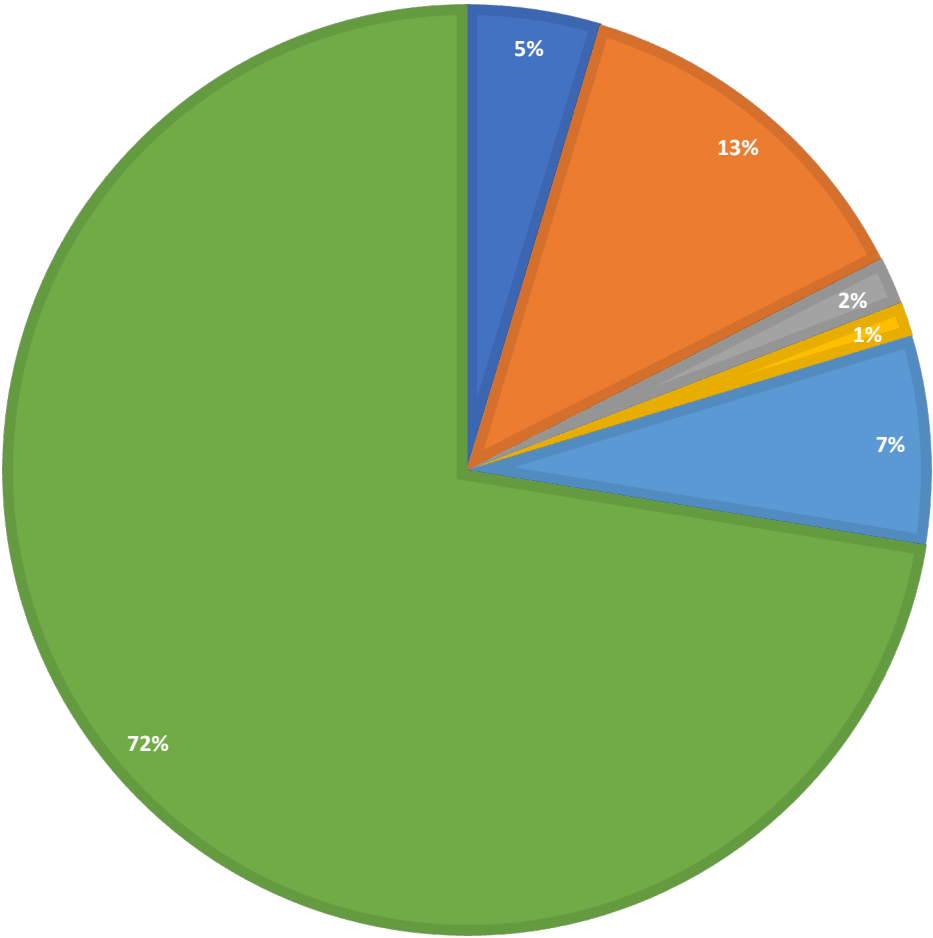
Day 1





2015 IRS STATISTICS

C Corp S Corp General Partnership Limited Partnership LLC Sole Proprietership



34,829,224 non-farm business tax returns
+ 1.54 million nonprofits

Governance Questions (For All Institutions)

Who makes
decisions for the
institution?

What constraints
do (should they)
have?

What are
(should be) their
motivations?

What are (should be) the legal consequences
of these actions?

Is the outcome “good” for society?

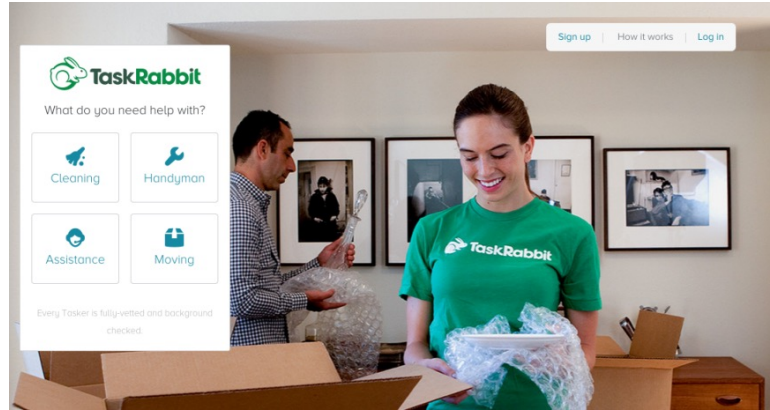


Nonprofit Corporation

Decentralized



Limited Liability Partnership



Agency Relationship?



LLC



LLC(?)



Nonprofit Corporation



What is a business? What is “business law”?

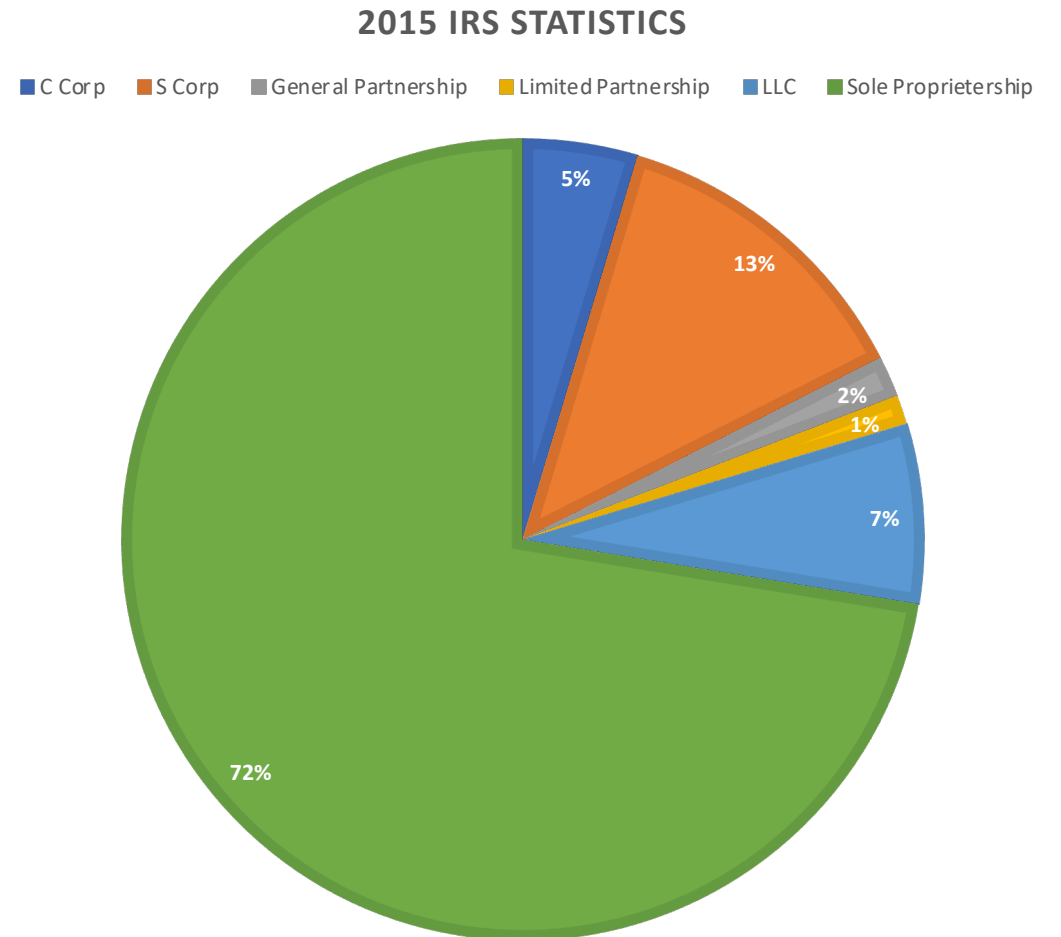


- Suppose that you want to start a food truck.
- Who are all the people that you will have interactions with?

Sole Proprietorship

- Suppose that you injure someone.
Who does that person sue?
- How are you taxed?

SOLE PROPRIETERSHIP = YOU





- Suppose that you hire an employee.
- If your employee injures someone, who does the injured party sue?
- How could you (try to) avoid liability?

Uber and Lyft Ramp Up Legislative Efforts to Shield Business Model

Gig economy companies are backing state laws in New York and elsewhere that would cement drivers' status as contractors in exchange for a union.



Driving for Uber in Manhattan. Gig companies like Uber and Lyft have long resisted classifying workers as employees. Amr Alfiky/The New York Times



By Noam Scheiber

Published June 9, 2021 Updated Oct. 21, 2021

Sole Proprietorship / Agency

1. Does the organization require formal creation?

No.

2. Does the organization have a separate legal personality?

No.

3. Is ownership in the organization transferable?

Ownership is transferable, agency relationship might be transferable.

4. Does the organization limit owners' liabilities?

No.

Bring in a Partner



- Suppose that you bring in a partner
- How would you resolve disputes?
- What happens if someone wants to leave?
- Suppose Partner 1 has a net worth of \$1,000 and Partner 2 has a net worth of \$10 million. How does that affect their incentives and interactions?

Partnership

1. Does the organization require formal creation?

No.

2. Does the organization have a separate legal personality?

Sort of.

3. Is ownership in the organization transferable?

Not easily.

4. Does the organization limit owners' liabilities?

No.

Form an LLC



- Suppose that you create an LLC
- Your employee injures someone. Who does the injured party sue?

Form an LLC



- Suppose that you create an LLC.
 - How would you form it to avoid tort liability?
- Limit the assets in the LLC.
 - Is this fair??
- How limited is limited liability?
 - Veil piercing.

LLC

1. Does the organization require formal creation?

Yes.

2. Does the organization have a separate legal personality?

Yes.

3. Is ownership in the organization transferable?

Not by default.

4. Does the organization limit owners' liabilities?

Yes.

Forming a Corporation



- Suppose that you have a partnership or LLC.
 - It can be hard for a partner/member to leave.
- Corporations make transferring ownership very simple.

Corporations

1. Does the organization require formal creation?

Yes.

2. Does the organization have a separate legal personality?

Yes.

3. Is ownership in the organization transferable?

Yes.

4. Does the organization limit owners' liabilities?

Yes.

Outline

- Agency
 - Who is an agent? When is a principal liable for agent's actions? Duties.
- Partnership
 - Who are partners? What are partners' duties? How do we organize/end?
- LLCs
 - How is an LLC created? How limited is the liability? How flexible is the form?
- Corporations
 - Closely held vs. publicly traded corporations
 - Tax considerations
 - Control

Taking this class.

- Business Organizations as a Practice Are
 - Interesting practice area.
 - Foundation for other business law courses.
- Business Organizations and General Legal Knowledge:
 - Fiduciary duties
 - Bar exam in most places.
- Business Organizations for litigators:
 - Finding deep pockets to sue
 - Know who your counterparties are and how they make decisions
- Business Organizations as an illustration of legal risk
 - Think carefully before hiring a gardener!
- Business Organizations as an opportunity to think about the role of business in society
- Business Organizations as advanced contracts

About This Class

- Materials
 - Kleinberger
 - Cases – I will put on Canvas
 - Restatement of Agency / Statutes (view entire thing on Westlaw/Lexis)
 - Other materials from Westlaw / Lexis
- Preparation for class.
- All classes are recorded and available on Canvas. Slides too.

Mental Health

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University Health Services
Promote, Protect and Restore Health & Well-Being

Business Organizations 1

Who is an Agent?

Nate Atkinson



§ 1.01 Agency Defined

Agency is the fiduciary relationship that arises when one person (a “principal”) manifests assent to another person (an “agent”) that the agent shall act on the principal’s behalf and subject to the principal’s control, and the agent manifests assent or otherwise consents so to act.

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- Mutual consent to the relationship

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- Agent acts on the principal’s behalf

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- Mutual consent to the relationship
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- Principal controls

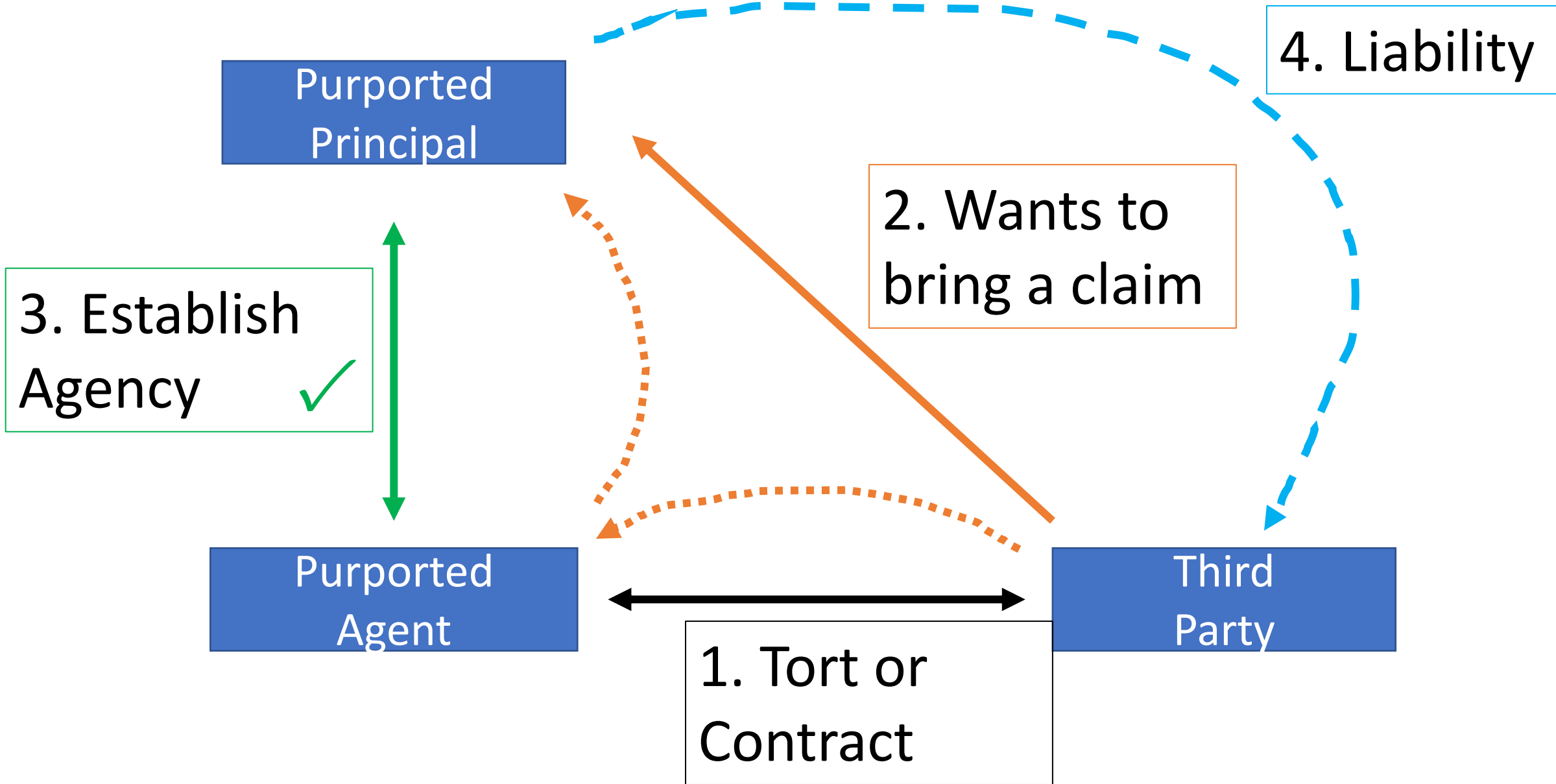
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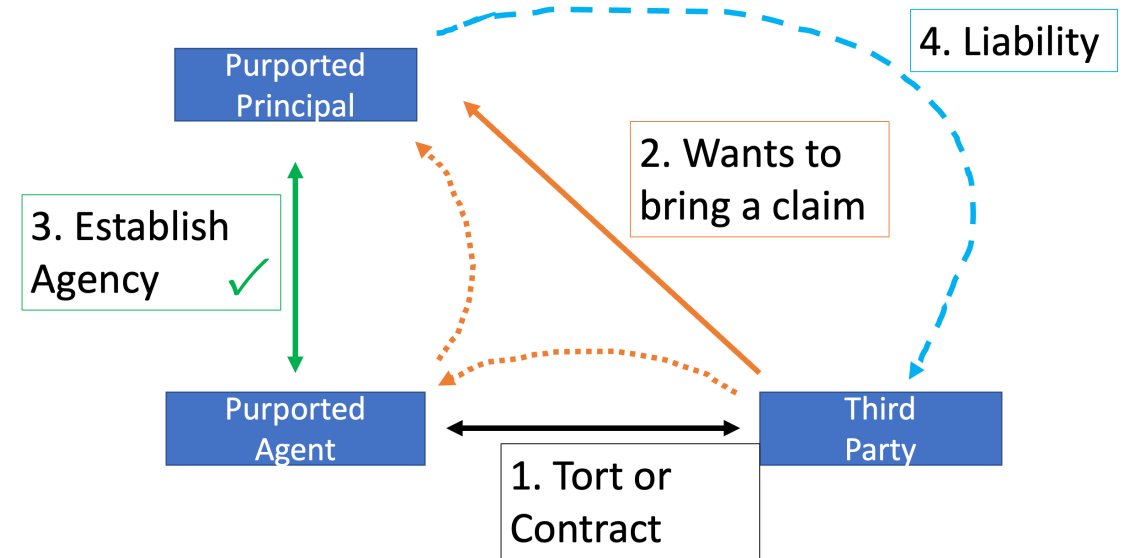
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Examples of Agency Relationships

- Attorney—Client
 - Realtor—Client
 - Employee—Employer
 - Partner—Partnership
-
- Agent has power to act on behalf of the principal.
 - Fiduciary relationship → Agent owes duties to the principal



Who Brings Agency Claims?



3rd Party

- 3rd party enters into a contract claim with agent
 - Does agent have authority? (next class)
 - Does the third party think the agent has authority? (next class)
 - What if the third party doesn't know about the principal? (next week)
- Agent harms a third party (next week)

Principal/Agent

- What can the principal do about it? (the week after next)

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Exercise

- A high school football coach needed one more car to get his players to a game.
- One of the other teachers at the school learned of this and let him use her car.
- One of the players was severely injured and incurred huge medical expenses. His dad sues to recover damages. Who should he sue?
 - Coach died in the crash.
 - Sovereign immunity (this was back in the day)
 - The other teacher!?

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- Q. On or about the 21st of September, 1934, state whether or not you permitted [the coach] to use that car?
 - **A. I did.**
- Q. Under what circumstances?
 - **A. I loaned it to him.**
- Q. When did you loan it to him? Was it that day, or the day before?
 - **A. On the day before I told him he might have it the next day.**
- Q. Did you receive any compensation, or were you promised any compensation, for its use?
 - **A. No, sir.**
- Q. You may relate the conversation with him, if there was such conversation.
 - **A. I asked him if he had all the cars necessary for his trip to Paris the next day. He said he needed one more. I said that he might use mine if he drove it. That was the extent of it.**

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Was the coach an agent for the teacher?

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Gorton v. Doty

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- Agent acts on the principal’s behalf.
 - Is Doty getting a benefit here?
 - Court: She didn’t have to drive herself.
- Principal controls
 - What control does she exercise?
 - Court: Required Garst to be the driver.
- Mutual assent to the relationship.
 - Consent to lend/drive the car.

Feels good

1600 SERVANT: DRIVER OF AUTOMOBILE (PRESUMPTION FROM OWNERSHIP OF VEHICLE)

Uncontradicted evidence has been received in this case that ____ was the owner of the automobile driven by _____. From this fact alone, a presumption arises that (driver) was the servant of (owner). Other evidence has been introduced, however, for the purpose of showing that (driver) was not the servant of (driver) at the time of the accident.

A "servant" is a person employed to perform a service for another and who, with respect to (his) (her) physical conduct in the performance of the service, is subject to the other's control or right to control. The term "servant" as used in this instruction is not used in the ordinary sense, that is as only applying to domestic help.

In analyzing the relationship between (owner) and (driver) to determine whether (driver) was a servant, you should consider: (1) why (driver) was operating the vehicle; (2) the general understanding of the parties and their conduct which tend to characterize their relationship; and (3) the control which (owner) had over the use of the vehicle by (driver).

For (driver) to be the servant of (owner): (1) there must have been some agreement by (driver) to act on (owner)'s behalf or for (owner)'s benefit; (2) some benefit to (owner) must have resulted from (driver) operating the vehicle; and (3) (owner) must have the right to control (driver) and direct (driver) in accomplishing (owner)'s purpose. Benefit to (owner) is not confined to an undertaking conducted for financial gain. It includes any benefit to the owner, including the owner's own pleasure. The element of control by the owner does not mean the actual or physical operation of the vehicle but rather control as applied to the use of the automobile by (driver) to accomplish the owner's purpose.

Unless you are satisfied by the greater weight of the credible evidence, to a reasonable certainty, that it is more probable that (driver) was not the servant of (owner), then you must find that (driver) was the servant of (owner). The burden is on (owner) to convince you that (driver) was not the servant of (owner) at the time of the accident and that the answer to the question should be "no."

SPECIAL VERDICT

At the time of the accident, was (driver) the servant of the (owner)?

Answer: _____

Yes or No

Under these instructions, would you find Garst an Agent of Doty?

Wisconsin – Public Policy

In Hoeft v. Friedel, the court said with respect to the common law presumption:

Appellants correctly state the rule in this state that the driver of a motor vehicle is presumed to be the agent of the owner. Where this presumption is not rebutted, the rules of agency dictate that the driver's negligence be imputed to the owner. 70 Wis.2d at 1033.

Later in its opinion, the court, in Hoeft v. Friedel, explained the policy reason for the creation of the presumption:

The presumption which arises with respect to the actual owner is attached as a matter of policy based upon the principle that "whether the car was at the time being operated in the prosecution of the defendant's [owner's] business is a matter peculiarly within the knowledge of the defendant [owner] and one upon which it is at times exceedingly difficult for the plaintiff to obtain proof." Enea v. Pfister, supra. If the evidence presented demonstrates that an agency relationship exists between the driver and someone other than the record owner, there is no reason not to apply the rule of imputation. 70 Wis.2d at 1034.

Outline

- Today: When is there an Agency Relationship?
 - Mutual consent to the relationship
 - Agent acts on the principal's behalf
 - Principal controls
- Next Class:
 - Given that an agency relationship exists, can the agent bind the principal?
 - Various categories of authority:
 - Actual Authority (express / implied)
 - Apparent Authority
 - o Three-Seventy Leasing Corporation